

## 25PDUD01265 25PDUD01265

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[TENTATIVE] ORDER DENYING CROSS-COMPLAINANT ANGEL QUINONEZ'S MOTION TO VACATE ORDER COMPELLING ARBITRATION and GRANTING MONETARY SANCTIONS

### I. INTRODUCTION

On April 28, 2025, Plaintiff Pablo Martinez, Trustee of the Patron Trust dated December 9, 2004 ("Pablo Martinez") filed this unlawful detainer action against Defendants Angel Quinonez and Karla Martinez, husband and wife, based on a 3-day Notice to Pay Rent or Quit. On May 13, 2025, Defendants Angel Quinonez and Karla Martinez ("Defendants") filed an answer to the UD complaint.

On June 2, 2025, Plaintiff represented to the Court that possession of the rental property was no longer at issue. Pursuant to Code of Civil Procedure §1952.3, the Court reclassified the action as an ordinary civil limited jurisdiction case. On July 31, 2025, Defendants filed a cross-complaint ("Cross-Complainants" with respect to Cross-Complaint) against Plaintiff Pablo Martinez, an individual, and Equity Smart Home Loans, Inc. ("Equity") (collectively "Cross-Defendants") seeking damages in excess of \$25,000. Cross-Complainants allege (1) breach of oral contract; (2) breach of implied contract; (3) breach of implied covenant of good faith and fair dealing; (4) promissory estoppel; (5) quantum meruit; (6) accounting; (7) breach of fiduciary duty; (8) constructive fraud; (9) violation of Business and Professions Code section 17200 ("Cross-Complaint filed on July 31, 2025").

Cross-Complainants allege that Quinonez entered into a partnership or joint venture with Cross Defendant Equity whereby (1) Quinonez's entity, Klovus, would be created as the Real Estate Division for Equity under the name Klovus Realty; (2) Equity would hire Quinonez as the Real Estate Division Manager for Klovus Realty; (3) Quinonez would be paid 30% of profits of Klovus Realty according to the prior month's Profit and Loss Statement; (4) Equity would hire Karla Martinez to serve as Real Estate Operations Manager for Klovus Realty; (5) Karla Martinez would be entitled to continue to operate Klovus for her own third party transactions; and (6) Klovus Realty would operate its own bank account separate from Equity. Cross Complainants allege Cross-Defendants breached the parties' partnership agreement by failing to pay Quinonez 30% of the profits. Cross-Complainants also allege Cross-Defendants committed multiple Labor Code violations against Karla Martinez during her employment as a Real Estate Operations Manager, including misclassifying her as an exempt employee and failing to provide her with meal and rest breaks. The action was reclassified as an unlimited action due to the Cross-Complaint filed on July 31, 2025. Notice of Reclassification was filed on August 1, 2025. On September 2, 2025, Cross-Defendants filed an answer to the Cross-Complaint filed on July 31, 2025. On September 2, 2025, Plaintiff Pablo Martinez filed a cross-complaint against Defendants alleging breach of contract, unfair business practices and intentional interference with prospective economic advantage. On January 5, 2026, the Court dismissed Plaintiff Pablo Martinez's cross-complaint, inquiring as to why he filed a cross-complaint to add additional causes of action instead of amending the complaint.

On March 20, 2026, the Court granted in part Cross-Defendants' motion to compel arbitration, compelling Angel Quinonez's cross-claims to arbitration while denying the motion as to Karla Martinez's cross-claims and staying the action as to Quinonez.

On July 13, 2026, Quinonez filed the instant motion to vacate the order compelling arbitration and lift the stay pursuant to Code of Civil Procedure section 1281.97. Cross-Defendants subsequently filed an untimely Opposition, which the Court has considered, and Quinonez filed a reply.

## II. LEGAL STANDARD

Code of Civil Procedure Section 1281.97(a)(1) states:

In an employment or consumer arbitration that requires, either expressly or through application of state or federal law or the rules of the arbitration administrator, the drafting party to pay certain fees and costs before the arbitration can proceed, if the fees or costs to initiate an arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel arbitration under Section 1281.2.

(Code Civ. Proc. § 1281.97, subd. (a)(1).)

"If the drafting party materially breaches the arbitration agreement and is in default under subdivision (a), the employee or consumer may...withdraw the claim from arbitration and proceed in a court of appropriate jurisdiction." (Code Civ. Proc. § 1281.97, subd. (b)(1).)

## III. ANALYSIS

Quinonez moves to vacate the Court's March 20, 2026, order compelling arbitration, lift the stay of the action under Code of Civil Procedure section 1281.97, and award sanctions. (Motion, p. 2.) Quinonez argues that, after the Court compelled arbitration, he initiated the arbitration and paid his portion of the filing fee. JAMS then notified Cross-Defendants that their remaining \$1,600 filing fee was due upon receipt. Despite the initial invoice and a final payment request, Cross-Defendants did not pay the fee, and JAMS closed the arbitration file on June 24, 2026, before an arbitrator was appointed. (Motion, pp. 2-5.)

Quinonez contends that section 1281.97 imposes mandatory consequences when the drafting party fails to pay the fees required to initiate arbitration within 30 days of the due date. Specifically, he argues that Cross-Defendants' failure to timely pay constitutes a material breach of the arbitration agreement, places them in default of the arbitration, and waives their right to compel arbitration. He further argues that section 1281.97 gives him the right to withdraw from arbitration and proceed in court, and that sanctions are mandatory under section 1281.99. (Motion, pp. 5-6.)

Cross-Defendants filed an untimely opposition. Nevertheless, the Court has considered the Opposition because Quinonez had an opportunity to file, and did file, a reply addressing the arguments raised therein. Therefore, the Court finds Quinonez has suffered no prejudice, and the Opposition will be considered on its merits.

Cross-Defendants oppose the motion, arguing that their failure to timely pay the arbitration initiation fee resulted from excusable administrative error rather than an intentional effort to delay the arbitration. Specifically, they contend: (1) counsel timely forwarded the JAMS invoice to the client for payment and reasonably believed the payment was being processed through the client's normal administrative channels; (2) subsequent JAMS notices were inadvertently diverted by Google's email filtering system into an unmonitored administrative folder, preventing counsel from learning of the payment deadline until after JAMS had closed the file; and (3) once counsel discovered the issue, they acted promptly by directing the client to

submit payment. According to Cross-Defendants, the client attempted payment within approximately 25 minutes of receiving notice, but the JAMS payment portal rejected the transaction because it indicated the invoice had already been paid. The client then immediately contacted the JAMS case manager seeking manual assistance to complete the payment. (Opposition., pp. 3-5.)

Cross-Defendants maintain they did not act in bad faith and argue the remaining delay was attributable to JAMS's response time rather than any lack of diligence on their part. They further contend Quinonez was aware of their payment efforts before filing the present motion. (Id, at p.7.)

Cross-Defendants argue that *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310 controls and makes clear that a technical payment delay does not automatically result in forfeiture of the right to arbitrate. (Id. at p.2.) They contend equitable principles, including Civil Code sections 1511 and 3275, excuse their delayed payment because the delay resulted from good-faith mistake, email routing issues, and a JAMS payment portal problem, rather than bad faith. They further argue Quinonez suffered no prejudice because the arbitration funds remain secure and the arbitration could be reopened. (Id. at pp. 8-13.)

In reply, Quinonez argues Cross-Defendants' explanations for both the late Opposition and the missed arbitration payment are inconsistent and unsupported by the record. Quinonez contends that the evidence demonstrates that Cross-Defendants failed to pay the initiation fee within the statutory deadline, that the first documented payment attempt occurred only after JAMS had already closed the file, and that *Hohenshelt* is distinguishable because it interpreted Code of Civil Procedure section 1281.98 rather than section 1281.97, which governs initiation fees. (Reply, pp. 2-7.)

The primary issue, as the Court sees it, is whether Cross-Defendants' failure to timely pay the arbitration initiation fee constitutes a waiver of the right to compel arbitration under Code of Civil Procedure section 1281.97, or whether equitable relief is available,

As a preliminary matter, although Quinonez argues Cross-Defendants waived their right to arbitration by failing to timely pay the required initiation fees, the Court does not find the record demonstrates that Cross-Defendants acted intentionally, deliberately, or in bad faith. Rather, this appears to be an isolated administrative error. Once Cross-Defendants became aware that the arbitration file had been closed, they attempted to submit payment, and when that effort was unsuccessful, promptly contacted the JAMS case manager to resolve the issue. The Court has no basis to conclude that Cross-Defendants were attempting to evade their payment obligations or intentionally delay the arbitration proceedings. Moreover, the Court finds it unlikely that Cross-Defendants would intentionally forfeit the very forum they successfully sought through a contested motion to compel arbitration. That litigation history weighs against a finding of bad faith.

Next, the Court is not persuaded by Quinonez's argument that *Hohenshelt* is limited solely to Code of Civil Procedure section 1281.98 and has no application to section 1281.97. Although *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310 arose under section 1281.98, the Supreme Court emphasized that the arbitration payment statutes must be harmonized with California's longstanding equitable principles governing relief from forfeiture. (*Hohenshelt*, supra, 18 Cal.5th at p. 332.) The Court finds those equitable principles are equally applicable here, where the record demonstrates the delayed payment resulted from good-faith mistake or excusable neglect rather than intentional or bad-faith conduct.

Based on the foregoing, the Court finds that Cross-Defendants have established that the delayed payment resulted from excusable neglect rather than intentional refusal to fund the arbitration or a deliberate effort to delay the proceedings. Consistent with the equitable principles recognized in *Hohenshelt*, the Court concludes that Cross-Defendants have not forfeited their contractual right to arbitrate.

Thus, the Court DENIES the motion to vacate.

Sanctions

Although the Court finds Cross-Defendants are entitled to equitable relief from forfeiture under *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, that does not necessarily preclude an award of compensatory monetary sanctions. *Hohenshelt* recognizes that equitable relief from forfeiture may coexist with the compensatory remedies available under Code of Civil Procedure section 1281.99. (*Hohenshelt*, supra, 18 Cal.5th at pp. 339-340.)

Here, Quinonez seeks \$8,410.00 in attorney's fees and costs incurred as a result of Cross-Defendants' delayed payment. Based on the evidence submitted, the Court finds the requested fees excessive. The Court instead awards attorney's fees for 8 hours at the requested hourly rate of \$450, plus the \$400 JAMS filing fee, for a total award of \$4,000.00. The Court finds this amount reasonable and directly attributable to Cross-Defendants' delayed payment of the arbitration initiation fee. (Kelly Decl., ¶¶ 12-14.) Accordingly, the Court awards monetary sanctions in the amount of \$4,000.00, jointly and severally, against Cross-Defendants pursuant to Code of Civil Procedure section 1281.99.

#### IV. CONCLUSION AND ORDER

The Court DENIES Quinonez's motion to vacate order compelling arbitration and to lift stay.

The Court GRANTS monetary sanctions in the amount of \$4,000.00, jointly and severally, payable within 30 days' notice of this order.

Dated: August 7, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT